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Detroit's 'Build, Baby, Build' Summit Signals a Capital Inflection for Industrial CRE

Policy and capital are converging on defense-driven manufacturing. The signal for industrial real estate is clear: capital is concentrating around assets tied to national security supply chains.

THE NEWS

The Reindustrialize Summit brought together policymakers and capital providers in Detroit.

The focus: reshoring critical manufacturing. The message: federal policy is now actively directing capital toward defense-linked industrial production. This is not abstract-it's shaping real estate demand today.

SIGNIFICANCE

This summit matters because it marks a shift from policy talk to capital allocation.

When the government signals priority sectors, institutional capital follows. For industrial CRE, that means assets serving defense supply chains are entering a new demand cycle. The question is which properties qualify.

Capital is becoming more selective-and more concentrated.

Lenders and investors are favoring industrial assets with clear ties to government-backed manufacturing. The simple version: if your building supports reshored production, financing is more available. If not, terms may tighten.

THE REAL QUESTION

Which industrial assets will qualify for this new wave of capital?

Sponsors are asking: does my property sit near a defense corridor? Is the tenant in a prioritized sector? The answer determines access to favorable debt and equity. This is a sorting moment for industrial portfolios.

WHO CARES?

Three groups are watching this closely.

- * Sponsors: Can my asset attract defense-linked tenants?
 - * Lenders: Which industrial loans carry lower risk?
 - * Investors: Is my portfolio positioned for this demand shift?
- Each group faces a different decision point.

MARKET CONTEXT

This is part of a larger pattern: capital following policy into strategic sectors.

We've seen it in data centers for AI, life sciences for biosecurity, and now industrial for defense. The common thread is that government priorities are reshaping private capital flows. Industrial CRE is the latest beneficiary.

Watch for two signals in the coming quarters.

First: lease-up velocity in defense-corridor industrial markets.
Second: the spread between cap rates for defense-linked vs. general industrial assets. If that spread widens, capital concentration is accelerating.

THE LESSON

Policy-driven capital flows are not temporary—they're structural.

Understanding where government priorities meet real estate fundamentals is becoming a core competency. Light Tower Group helps sponsors and investors navigate these capital inflection points. Connect with Benjamin Rohr for capital strategy and placement.